

MINDTECK (INDIA) LIMITED 16/3, CAMBRIDGE ROAD, ULSOOR, BANGALORE 560 008 UNAUDITED STANDALONE FINANCIAL RESULTS FOR THE QUARTER AND SIX MONTHS ENDED SEPTEMBER 30, 2012 <i>(Rs in lacs, except as otherwise stated)</i>						
Sl. No.	Particulars	Quarter ended			Half year ended	
		30-Sep-2012	30-Jun-2012	30-Sep-2011	30-Sep-2012	30-Sep-2011
		Unaudited	Unaudited	Unaudited	Unaudited	Audited
1	Income from operations	1,449.68	1,458.33	1,425.25	2,908.01	5,606.96
2	Expenses					
	a) Employee benefit expense	912.21	928.60	850.06	1,840.81	3,369.59
	b) Cost of technical sub-contractors	27.22	27.79	29.92	55.00	118.68
	c) Depreciation and amortisation expense	12.48	13.48	23.19	25.96	85.91
	d) Other expenses (Note 2)	415.99	371.93	420.02	787.92	1,591.85
	Total expenses	1,367.90	1,341.80	1,323.19	2,709.69	5,166.03
3	Profit / (loss) from operations before other income, finance costs and exceptional items (1 - 2)	81.78	116.53	102.06	198.32	440.93
4	Other income	7.30	11.39	8.37	18.69	36.23
5	Foreign exchange gain / (loss)	(13.75)	(83.40)	(219.08)	(97.16)	(308.61)
6	Profit / (loss) from ordinary activities before finance costs and exceptional items (3 + 4 + 5)	75.33	44.52	(108.65)	119.85	168.55
7	Finance costs	1.06	1.52	3.62	2.58	9.27
8	Profit / (loss) from ordinary activities after finance costs but before exceptional items (6 - 7)	74.27	43.00	(112.27)	117.27	159.28
9	Exceptional items	-	-	-	-	-
10	Profit / (loss) from ordinary activities before tax (8 - 9)	74.27	43.00	(112.27)	117.27	159.28
11	Tax expense	20.06	13.55	(37.53)	33.61	85.26
12	Net Profit / (loss) from ordinary activities after Tax (10 - 11)	54.21	29.45	(74.74)	83.66	74.02
13	Extraordinary items	-	-	-	-	-
14	Net Profit / (loss) for the period (12 - 13)	54.21	29.45	(74.74)	83.66	74.02
15	Paid-up equity share capital (face value of Rs 10 each) (Note 3)	2,451.68	2,445.25	2,434.96	2,451.68	2,445.25
16	Reserves	11,940.97	11,845.90	11,635.25	11,940.97	11,816.44
17	Earnings per share (Note 3)					
	Basic EPS (in Rs.)	0.22	0.12	(0.31)	0.34	0.30
	Diluted EPS (in Rs.)	0.22	0.12	(0.30)	0.34	0.30
18	Public shareholding (Note 3)					
	Number of shares	87,62,914	86,98,615	85,95,736	87,62,914	86,98,615
	Percentage of shareholding	35.15	34.98	34.71	35.15	34.71
19	Promoters and promoter group shareholding					
	a) Pledged/Encumbered					
	- Number of shares	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total share capital of the company)	Nil	Nil	Nil	Nil	Nil
	b) Non-encumbered (Note 3)					
	- Number of shares	1,61,69,857	1,61,69,857	1,61,69,857	1,61,69,857	1,61,69,857
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	100.00	100.00	100.00	100.00	100.00
	- Percentage of shares (as a % of the total share capital of the company)	64.85	65.02	65.29	64.85	65.02

Notes to standalone financial results for the quarter and six months ended September 30, 2012

- The above financial results of the Company have been reviewed by the Audit Committee and thereafter approved by the Board of Directors in their meeting held on November 8, 2012. The Company's Statutory Auditors have carried out the limited review of the unaudited financial results for the quarter and six months ended September 30, 2012, pursuant to Clause 41 of the Listing Agreement. An unqualified limited review report has been issued by them thereon.
- Other expenses for the quarter and six months ended September 30, 2012 includes an amount of Rs 50.00 lacs towards the provision made for security deposit placed for the new premises. The Company has terminated the agreement as the necessary regulatory approval was not in the possession of the landlord.
- The Company has consolidated the financial statements of the Mindteck Employees Welfare Trust ('the Trust') with that of its standalone financial statements to comply with the requirements of SEBI (ESOS and ESPS) Guidelines 1999. As a result, the Company's paid up equity shares stand reduced by 416,000 shares as on September 30, 2012. To give effect to the consolidation of the Trust, Rs 41.6 lacs has been reduced from equity share capital, Rs 362.4 lacs has been reduced from securities premium account and Rs 15.83 lacs has been adjusted in reserves. The shares held by the Trust were reduced from outstanding number of shares for computation of basic and diluted EPS of the Company. However, these shares have been included in public share holding in the above statement.
- Segmental reporting:

<i>(Rs in lacs, except as otherwise stated)</i>						
Particulars	Quarter ended			Half year ended		Year ended
	30-Sep-2012	30-Jun-2012	30-Sep-2011	30-Sep-2012	30-Sep-2011	
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	
Segment revenue						
- Software services	1,322.22	1,362.01	1,307.77	2,684.23	2,549.18	5,199.74
- IT- enabled services	127.46	96.32	117.48	223.78	211.03	407.22
Income from operations	1,449.68	1,458.33	1,425.25	2,908.01	2,760.21	5,606.96
Segment results (profit before tax and interest from each						
- Software services	497.83	515.04	445.82	1,012.87	808.66	1,855.91
- IT- enabled services	60.49	41.21	67.55	101.70	143.47	246.12
Total	558.32	556.25	513.37	1,114.57	952.13	2,102.03
Unallocable						
- Interest	1.06	1.52	3.61	2.58	6.71	9.27
- Expenditure	490.29	523.12	620.04	1,013.41	1,007.94	1,969.71
- Other income	(7.30)	(11.39)	1.99	(18.69)	(15.33)	(36.23)
Profit / (loss) before tax	74.27	43.00	(112.27)	117.27	(47.19)	159.28
Segment capital employed						
- Software services (sundry debtors)	120.84	612.77	391.72	120.84	391.72	891.59
- IT enabled services (sundry debtors)	736.64	94.96	123.50	736.64	123.50	46.99
Total	857.48	707.73	515.22	857.48	515.22	938.59
Unallocable assets	14,361.54	14,520.73	14,880.61	14,361.54	14,880.61	14,281.20
Total	15,219.02	15,228.46	15,395.83	15,219.02	15,395.83	15,219.79

Note on Segment Information**Primary Segments**

The Mindteck Group's operations predominantly relate to providing software services to external customers and providing IT-enabled services to consolidated subsidiaries within the Group. Accordingly, revenues represented along software services and IT enabled services comprise the primary segmental information. Certain expenses are specifically not allocable to individual segments as the underlying services are used interchangeably, and accordingly expenses are separately disclosed as unallocable.

Segmental Capital Employed

Segregation of certain assets, liabilities, depreciation and other non-cash expenses into various primary segments has not been carried out as the assets are used interchangeably between segments. Accordingly, assets other than sundry debtors are disclosed as unallocable and no disclosure relating to segmental liability has been made.

As IT-enabled services are rendered entirely to group companies which are consolidated, the disclosure of a separate IT-enabled service segment as a separate primary segment is not applicable for the consolidated financial results.

- 5 Information on investor complaints pursuant to Clause 41 of the Listing Agreement for the year ended March 31, 2012:

Nature of Investor complaints	Opening balance	Additions	Disposal	Closing balance
Nil	Nil	Nil	Nil	Nil

- 6 Statement of assets and liabilities as at September 30, 2012 is given below:

(Rs in lacs, except as otherwise stated)

Particulars	As at 30-Sep-2012 Unaudited	As at 31-Mar-2012 Audited
EQUITY AND LIABILITIES		
Shareholder's funds		
Share capital	2,451.68	2,445.25
Reserves and surplus	11,940.97	11,816.44
Sub-total - shareholder's funds	14,392.65	14,261.69
Share application money pending allotment	75.66	122.94
Non-Current liabilities		
Other long term liabilities	22.45	26.91
Long-term provisions	109.68	69.41
Sub-total - non-current liabilities	132.13	96.32
Current liabilities		
Short term borrowings	28.71	-
Trade payables	276.64	382.62
Other current liabilities	199.03	229.29
Short term provisions	114.19	126.91
Sub-total - current liabilities	618.57	738.82
TOTAL - EQUITY AND LIABILITIES	15,219.01	15,219.77
ASSETS		
Non-current assets		
Fixed assets	190.73	198.00
Non-current investments	12,312.91	12,312.91
Deferred tax assets (net)	74.44	51.67
Long-term loans and advances	854.11	877.29
Sub-total - non-current assets	13,432.19	13,439.87
Current assets		
Trade receivables	857.48	938.58
Cash and bank balances	171.84	261.54
Short term loans and advances	414.06	366.84
Other current assets	343.44	212.94
Sub-total - current assets	1,786.82	1,779.90
TOTAL - ASSETS	15,219.01	15,219.77

- 7 Previous period/year figures have been reclassified/ regrouped to confirm with current period/year presentation, wherever applicable.

For and on behalf of the Board of Directors,

Indresh Narain
Director

Place : Bangalore

Date : November 8, 2012